ALPHA TERMINAL FIELD GUIDE

BUILDING A MARKET REGIME TERMINAL

A field guide to turning breadth, volatility, policy and market memory into conditional trade research.



METHOD 01 • CONTEXT BEFORE CANDIDATES

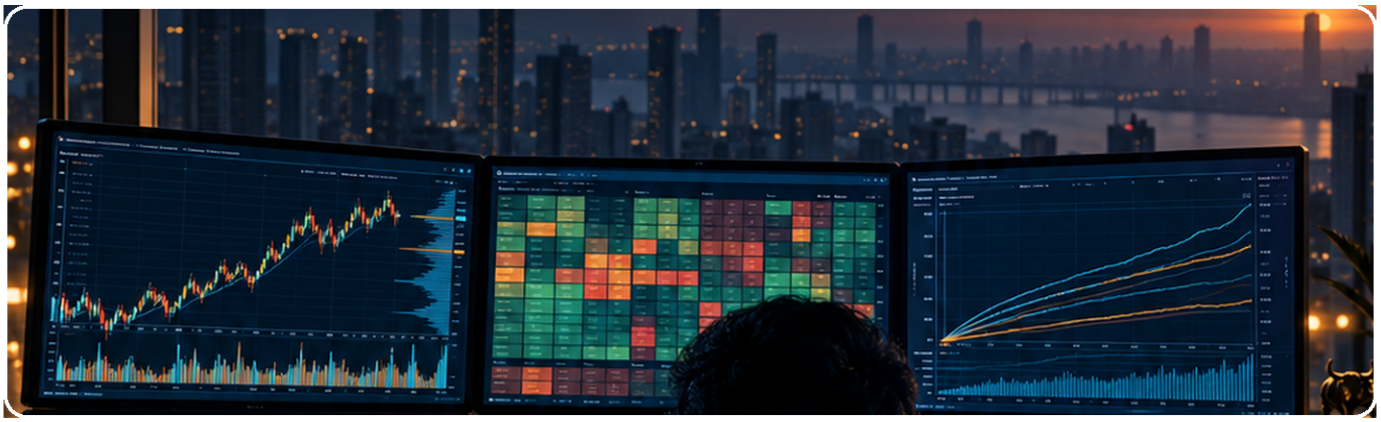
Classify the environment first. Search for alpha only where the market's state makes the hypothesis plausible.

RESEARCH SYSTEMS • INDIA • 2026

01 • PURPOSE

Know the weather before choosing the vehicle

A regime terminal does not predict tomorrow. It describes the state of the market, finds historical analogues and narrows which playbooks deserve attention now.



THE DECISION LOOP

1

Observe

Price, breadth, volatility, policy and positioning.

2

Classify

Label the regime with coverage and confidence.

3

Compare

Find similar point-in-time historical states.

4

Act

Apply only playbooks that survived validation.

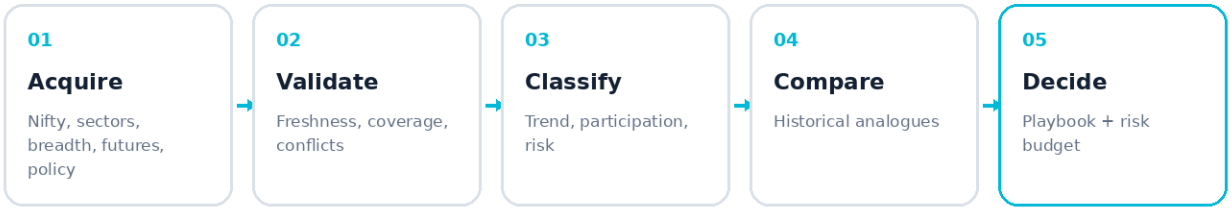
THE PROMISE

One screen should answer: What state are we in? What changed? What usually followed? Which risks would disprove the view?

02 • ARCHITECTURE

Build an evidence chain, not a signal pile

Every conclusion must retain its observation date, source, revision state and coverage. Missing evidence stays missing.



EVIDENCE STACK

Price regime	NIFTY 50/500 trend, drawdown, distance from moving averages.	CORE
Participation	% above 50/200-day averages and 20-session breadth.	CORE
Risk tone	Realised volatility, downside concentration and drawdown speed.	CORE
Positioning	Futures/OI quadrants, liquidity and institutional flows.	SUPPORT
Policy + macro	RBI decisions, inflation, growth and event vintage.	SUPPORT

DATA CONTRACT

Temporary quantitative floor: 12 June 2000, when NSE NIFTY index futures began. Earlier Indian-market history remains documentary context until consistent, auditable series are available.

03 • RESEARCH PLAYBOOKS

Three engines, three independent reasons to care

An engine is a testable conditional hypothesis. It earns capital only after coverage, confirmation and downside gates pass.

ENGINE A

Breadth thrust after stress

Look for participation expanding after a deep drawdown while volatility stops rising. The edge hypothesis is recovery breadth, not a low index level.

EVIDENCE GATES

Breadth

Volatility

Trend

Invalidate when: breadth fades or the index makes a new low on expanding volatility.

ENGINE B

Leadership in a healthy trend

Rank sectors by relative strength only when the broad index trend and participation are supportive. Prefer persistent leadership over one-day spikes.

EVIDENCE GATES

Trend

Relative strength

Participation

Invalidate when: leadership loses benchmark-relative momentum and breadth narrows.

ENGINE C

Defensive rotation

When participation deteriorates and volatility rises, test low-beta leadership, cash buffers and smaller risk budgets instead of forcing directional conviction.

EVIDENCE GATES

Risk tone

Defensives

Liquidity

Invalidate when: breadth repairs, volatility contracts and cyclical leadership broadens.

04 • DECISION CARD

Make every idea auditable before it becomes actionable

The terminal should produce a research card with conditions, evidence, sizing and invalidation—not a mysterious Buy button.

RESEARCH IDEA • ILLUSTRATIVE

Breadth-confirmed recovery basket

Illustrative research card generated after a broad sell-off; not a live recommendation.

STATE

Recovery candidate • confidence 72% • 5/6 clusters fresh

HYPOTHESIS

Expanding participation can support 20-session excess return.

ENTRY EVIDENCE

NIFTY 500 >50DMA breadth rises for 5 sessions; vol percentile falls.

RISK BUDGET

0.50% portfolio risk • diversified sector basket • no leverage

BENCHMARK

NIFTY 50 total return over the same holding window.

INVALIDATION

Breadth below trigger, new closing low or event-data conflict.

DECISION **WATCH • wait for a second independent confirmation**

THE FIVE GATES

- ✓ **Fresh**
- ✓ **Independent**
- ✓ **Point-in-time**
- ✓ **Sized**
- ✓ **Falsifiable**

NO-GO RULE

Do not score a regime if core price or breadth history is stale, conflicted or below the declared coverage threshold.

05 • PROOF

Backtest the decision process, not the story

Regime labels and thresholds are especially vulnerable to hindsight. Recreate only what was knowable on each historical date.

WALK-FORWARD DESIGN

BUILD	VALIDATE	HOLD OUT
Rules + thresholds	Tune once	No peeking

WHAT THE TEST MUST REPORT

Excess return
Against the matched benchmark and horizon.

Hit rate
Share of independent windows that were positive.

Drawdown
Worst path, not only final return.

Turnover
How often state changes force action.

Coverage
Rows, clusters and dates truly available.

Stability
Across thresholds, eras and volatility states.

BIAS CHECK

- Do not use today's index constituents to claim historical breadth without a survivorship warning.
- Do not use revised macro values before their publication date.
- Do not count overlapping forward windows as independent observations.
- Do not tune the classifier on the same crises used to advertise it.

PASS CONDITION

Promote a playbook only when held-out excess return survives costs, drawdown remains inside budget and results are not dominated by one crisis.

06 • WORKFLOW

Turn research into a repeatable operating cadence

A disciplined cadence prevents every market move from becoming a new rule.

DAILY → WEEKLY → MONTHLY

DAILY

Refresh the state

Ingest completed closes; verify freshness; flag changed clusters; do not rewrite thresholds.

WEEKLY

Review candidates

Compare sectors and stocks within the active regime; update evidence and invalidation.

MONTHLY

Audit the model

Review false positives, coverage gaps, costs and regime transitions; freeze changes before validation.

90-DAY BUILD ROADMAP

DAYS 1–30

Trusted data

Point-in-time price, breadth, volatility and policy registry with source audit.

DAYS 31–60

Classifier

Transparent scores, transition rules, uncertainty and analogue search.

DAYS 61–90

Playbooks

Walk-forward tests, research cards, portfolio impact and monitoring.

07 • OUTCOMES

Judge the terminal by decision quality, not prediction theatre

A useful terminal reduces unforced errors and makes uncertainty visible.

THE SCOREBOARD

COVERAGE

> 95% core inputs

No hidden backfills.

FRESHNESS

Completed sessions

No intraday/EOD mixing.

STABILITY

Across market eras

No crisis-only edge.

DRAWDOWN

Inside declared budget

Path risk is explicit.

DECISION LATENCY

Minutes, not hours

Evidence is pre-joined.

AUDITABILITY

Every label traceable

Source, date and rule retained.

NON-NEGOTIABLE GUARDRAILS

- ✓ **Separate observed facts, derived regime labels and portfolio suggestions.**
- ✓ **Freeze rules before held-out testing and include trading costs.**
- ✓ **Keep documentary pre-2000 stories outside the quantitative classifier.**
- ✓ **Use confidence and coverage—not certainty language.**

SOURCES AND BOUNDARIES

Primary candidates: NSE/NSE Indices licensed or permitted histories; RBI policy releases and macro vintages; official exchange derivatives records; audited local EOD histories. Project context: PG-terminal Historical Regimes milestones through v25 and the 12 June 2000 quantitative floor.

Research and education only. Alpha is uncertain; losses are possible.